

no kids) had just moved to a bigger home because the stuff they had needed more space. She said that she had more than twenty pairs of boots but ended up wearing just one of them because that was the most comfortable. Why buy, I asked? After two or three pairs, why do you need another one? ‘Because I don’t have *that* one,’ she said.

At some point in our lives we need to step back to see why we’re doing what we are doing. I know peer pressure kills, but whatever you do, there will always be something that you don’t have. Better to be who you are rather than be somebody that you are not.

I doubt that any of us looks at ourselves and says: ‘I’m greedy.’ But a look at many portfolio choices taken by many people does look like greed to me. What is greed in investing? It is the desire to get rich overnight, riding a boom time in some investment. It is the desire to get rich quickly without doing too much work.

Those of you who invested in Hoffland Finance, in emu farming, in Home Trade, in other multilevel marketing (MLM) schemes that promised super returns for very little effort know what I’m talking about. The sales pitch of such products is very clear – double or triple your money in a very short time.

Such deals usually work for those who enter in the beginning of the game – later investor money is recycled to pay super returns to older investors. But at some point, when new investors stop coming, the whole pyramid collapses. The Saradha scam was one such ponzi scheme.

Other than MLM schemes, greed gets us to invest in very high-risk products – such as stock IPOs (initial public offers). I remember a relative who was a zero-risk FD investor in small-town India. One visit many years ago to his house resulted in him confessing that he had invested in the Reliance Power IPO. He had broken his FDs and invested in it. Those who remember that IPO know that the project was not going to show returns for a very, very long time.

There was nothing in the project to justify the huge premium the IPO was charging. It was a lot of hype and had been the outcome of very high commissions paid to brokers to sell the IPO. ‘Why would you buy this, when every time I tell you to invest in mutual funds you say you can’t take the risk?’